

# Analysis Framework

| Grade        | Position Size |
|--------------|---------------|
| 85+          | 2.5%          |
| 80-84        | 2%            |
| 75-79        | 1.5%          |
| 70-74        | 1%            |
| 65-69        | 0.5%          |
| Less than 65 | Avoid         |

## Undervalued Small and Mid Cap (Market Cap < \$10 billion)

| Metric                                                                            | Points                                                                                                                                       |
|-----------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------|
| Earnings Trend TTM (shows profitability growth)                                   | First profitable year: 10 points<br>Loss narrowing/Near break-even: 8 points<br>Stable profitability: 5 points<br>Deepening losses: 0 points |
| Institutional Ownership (In before the big players, but not entering value traps) | 25-50%: 10 points<br>50-60%: 6 points<br>Over 60% or Under 25%: 0 points                                                                     |
| P/B vs Sector (shows over/undervaluation compared to industry)                    | 30-60% below peers: 10 points<br>10-30% below peers: 8 points<br>Equal: 5 points<br>Above peers: 0 points                                    |
| Revenue Growth Trend YoY (shows revenue growth)                                   | Negative to flat to positive: 10 points<br>Explosive +30% growth: 8 points<br>Stable growth: 5 points<br>Declining: 0 points                 |
| Margin Expansion (shows company is keeping more money from each sale)             | Expanding Over 3% YoY: 10 points<br>Stable by rising: 7 points<br>Flat/Declining: 0 points                                                   |
| Free Cash Flow (shows how much cash the company has left after costs)             | Recently turned positive: 10 points<br>Stable: 6 points<br>Negative but improving: 3 points<br>Negative: 0 points                            |

|       |                                                                                                            |
|-------|------------------------------------------------------------------------------------------------------------|
| Bonus | Insider activity: 10 points<br>Short interest dropping >10%: 10 points<br>Product/Contract news: 10 points |
|-------|------------------------------------------------------------------------------------------------------------|

## Oversold Large Cap (Market Cap > \$10 Billion)

| Metric                                                                                                      | Points                                                                                                                                          |
|-------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------|
| Forward P/E vs 5y Avg (shows if the market is valuing the company's earnings cheaper or richer than normal) | 25%+ below 5y avg: 10 points<br>10-25% below: 8 points<br>Equal: 4 points<br>Above: 0 points                                                    |
| Revenue Trend (shows increase in revenue)                                                                   | Turning positive after decline: 10 points<br>Decline slowing by 5%: 8 points<br>Stable growth (0.5-4.9%): 5 points<br>Falling: 0 points         |
| Free Cash Flow (shows how much cash the company has left after costs)                                       | 40% increase or negative to positive: 10 points<br>15-39% increase: 7 points<br>Positive but flat: 3 points<br>Declining: 0 points              |
| Operating Margin Trend (shows ability to generate profits based on operations)                              | Expanding 2%+ after decline: 10 points<br>Expanding 0.5-1.9% after decline: 7 points<br>Continuously expanding: 5 points<br>Declining: 0 points |
| Debt/Equity                                                                                                 | Under 0.5: 10 points<br>0.5-0.99: 8 points<br>1-1.5: 4 points<br>Over 1.5: 0 points                                                             |
| Institutional Ownership (In before the big players, but not entering value traps)                           | 40-80%: 10 points<br>20-40%: 4 points<br>Under 20% or over 80%: 0 points                                                                        |
| Bonus                                                                                                       | Insider activity: 10 points<br>Short interest dropping >10%: 10 points<br>Product/Contract news: 10 points                                      |

## Technical Analysis

| Time Frame | Use Case                                        |
|------------|-------------------------------------------------|
| 1Y / 1M    | Identify long-term trend & value zones          |
| 5D         | Check trend reversal, moving average crossovers |
| 1D         | Entry/exit timing & volume confirmation         |

| Indicator                | How To Use                                                                                                                                                                                                                     |
|--------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Support/Resistance Zones | Bounced off long-term support (at least 5%): 8 points<br>Broken through lowest resistance or second support: 6 points<br>Mid-range between support/resistance: 4 points<br>Below support or above highest resistance: 0 points |
| Chart Pattern            | Cup & Handle, Flag, or Ascending Triangle: 7 points<br>Double bottom or Base breakout: 4 points<br>Range-bound but tightening: 2 points<br>Random: 0 points                                                                    |
| Price vs MAs             | Golden cross with price over 200MA but under 50MA: 8 points<br>Golden cross with price over both 200MA and 50MA: 6 points<br>No cross or price over 50MA: 3 points<br>Death Cross or Price under 200MA: 0 points               |
| RSI (14)                 | 0-30: 7 points<br>31-45: 4 points<br>46-69: 2 points<br>Over 70: 0 points                                                                                                                                                      |
| Volume                   | Rising volume for 3+ green days: 10 points<br>Rising volume (green and red days): 6 points<br>High volume breakouts: 3 points<br>Declining/Flat: 0 points                                                                      |